today’s global economy, we need to look beyond aggregated trade figures and examine in further detail whether the Indian government facilitates increased trade and investment cooperation with China and actively promotes Chinese investments in India and Indian investments in China or enforces a more protectionist policy targeted at Chinese trade and investments, increases tariffs, imposes sanctions, and withdraws from projects. Furthermore, as the economy is the long-term basis for enhancing military capabilities, we need to pay attention to countries that India chooses to engage to modernise its economy. Moreover, we should examine Indian economic cooperation and policies towards its neighbourhood and assess whether India cooperates with China in third countries or pursues economic statecraft in South Asia to undermine and frustrate Chinese interests.

Diplomacy/Institutions; If India were to use diplomatic means to balance China, it would cancel high-level meetings, undermine Chinese initiatives, oppose China in regional and/or multilateral institutions, and engage with its neighbourhood and other countries with the aim of limiting China’s influence. Signals of more cooperative Indian behaviour vis-à-vis China would be New Delhi supporting or joining more China-led initiatives and rejecting engagement initiatives by the United States and allies. Indicators of diplomatic bandwagoning with China would be if India fully subscribes to a China-led order.

Unless the alignment and military/defence policy variables give us a clear-cut answer, it is important that we factor in all four indicators – alignment, military, economy, and diplomacy – to examine state behaviour. Although strong alignment would clearly indicate a hard balancing policy, more moderate and weaker forms of alignments would be compatible with a policy of conflictive hedging or even extensive hedging and have to be supplemented with exploring variations in the military, economic, and/or